

CWM PRIVATE CLIENT GROUP

Financial Advisor Compensation Plan — Plan Year 2026

1 Purpose and Scope

This plan describes how credited revenue is measured and how the advisor payout grid responds to client pricing decisions, asset movement, and practice events during the 2026 plan year. It applies to all producing advisors in the Private Client Group, whether operating individually or under a team agreement. Unless a provision states otherwise, measurements are made monthly on credited revenue as recorded in the firm's revenue system, and grid placement is re-evaluated at the close of each production month.

Nothing in this plan creates an entitlement to a particular payout band. Where this plan is silent, the 2025 plan's administrative interpretations continue to apply until superseded in writing by Compensation Committee action.

2 Payout Schedule

An advisor's core payout rate is determined by the band containing their trailing twelve-month credited revenue. The deferred award accrues quarterly and vests per the firm's deferral policy; the team uplift applies only to advisors on an active team agreement with an executed revenue-share schedule.

Band	Trailing 12-Month Credited Revenue	Core Payout	Deferred Award	Team Uplift
A1	\$0 – \$175,000	30.0%	0.00%	0.0%
A2	\$175,001 – \$250,000	31.5%	0.00%	0.0%
A3	\$250,001 – \$325,000	33.0%	0.25%	0.0%
A4	\$325,001 – \$400,000	34.5%	0.25%	0.5%
B1	\$400,001 – \$500,000	36.0%	0.50%	0.5%
B2	\$500,001 – \$625,000	37.5%	0.50%	0.5%
B3	\$625,001 – \$750,000	39.0%	0.75%	1.0%
B4	\$750,001 – \$900,000	40.5%	0.75%	1.0%
C1	\$900,001 – \$1,100,000	42.0%	1.00%	1.0%
C2	\$1,100,001 – \$1,350,000	43.0%	1.00%	1.5%
C3	\$1,350,001 – \$1,650,000	44.0%	1.25%	1.5%
C4	\$1,650,001 – \$2,000,000	45.0%	1.25%	1.5%
D1	\$2,000,001 – \$2,500,000	46.0%	1.50%	2.0%
D2	\$2,500,001 – \$3,250,000	47.0%	1.50%	2.0%
D3	\$3,250,001 – \$4,000,000	48.0%	1.75%	2.0%
D4	Over \$4,000,000	49.0%	2.00%	2.5%

2.1 Product Minimums

Credited revenue participates in the payout schedule only once it clears the product minimum for the month. Equity credited revenue below twenty-five dollars (\$25.00) in a production month receives a payout rate of zero percent (0%) for that month; mutual fund credited revenue below ten dollars (\$10.00) in a production month likewise receives a payout rate of zero percent (0%). Revenue below a product minimum remains credited revenue for measurement and band placement — the minimum suppresses the payout, not the credit. A payout recorded against equity or mutual fund revenue that falls below its product minimum is an administration error and must be reversed in the following production month.

Band placement is recalculated monthly. A month in which fewer trading days occur than in the preceding month — for example a mid-month data cutoff or an exchange holiday cluster — will show lower recurring revenue for reasons unrelated to the advisor's book, and band placement is not adjusted downward on that basis alone.

3 Client Fee Discounts and Grid Sharing

3.1 The Sharing Threshold

The firm expects most client relationships to price at or near the standard fee schedule. The standard managed fee schedule is one hundred forty-five basis points (145 bps) on managed assets, and discount sharing is measured against that schedule. When a client's effective fee falls more than ten percent (10%) below the standard schedule for a managed account, the advisor shares in that discount through grid movement: the payout grid moves down one point for each full percentage point of reduction beyond the 10% threshold. The grid never moves more than ten points for this reason in any single month — deeper discounts are absorbed by the firm once the ten-point floor is reached.

Discount sharing applies to managed accounts only. It applies only where the pricing decision was made on or after 1 April 2026; discounts in force before that date are excluded from sharing for as long as they remain unchanged. Re-papering an existing discount without changing its economics does not create a new pricing decision.

Effective Fee Reduction	Grid Point Movement
10% or less	No movement
11%	Down 1 point
12%	Down 2 points
13%	Down 3 points
15%	Down 5 points
18%	Down 8 points
20% or more	Down 10 points (floor)

3.2 Worked Example (Illustrative Only)

The following example is illustrative only; the rates in it are assumed for arithmetic and are not the standard schedule. Assume a managed account carries a schedule rate of 115 bps. The advisor agrees with the client on an effective rate of 100 bps in May 2026. The reduction is $(115 - 100) / 115 = 13\%$. That is 3 full points beyond the 10% threshold, so the advisor's grid moves down 3 points for that month's production on the account.

3.3 Rounding

The effective reduction percentage is rounded to the nearest whole percent before the grid movement is applied. A computed reduction of 14.4% is treated as 14%, moving the grid down 4 points; a computed reduction of 14.50% rounds up and is treated as 15%, moving the grid down 5 points.

3.4 Departure of the Discounting Advisor

When the advisor who originally set a client discount leaves the firm, discount sharing on the affected accounts is suspended for six months from the departure date, then resumes automatically for whichever advisor then serves the account. The suspension recognises that the receiving advisor did not make the original pricing decision and needs a transition period to revisit it with the client.

4 Asset Movement and the Book

4.1 Account Transfers Between Advisors

An account reassigned from one advisor to another — whether through a book purchase, a team restructuring, or a management-directed move — is a transfer, not a lost account, and must never be counted against the sending advisor as an account loss. For the receiving advisor, an inherited account that carries a client fee discount above the sharing threshold continues to count toward discount sharing; the discount follows the account, not the advisor who set it. The six-month suspension in Section 3.4 applies only to departures from the firm, not to internal book moves.

4.2 New Accounts Opened Mid-Period

An account opened during a production month is treated as new for the month in which its first credited revenue appears. An account opened on the 20th of a month whose first trade settles in the following month is therefore a new account of the following month. Opening paperwork alone does not create a new account for compensation purposes; credited revenue does.

4.3 Lost Accounts

An account whose balance falls to zero and which produced credited revenue in the prior month is a lost account of the current month, unless a transfer record exists for it — a transferred account is governed by Section 4.1 and is excluded from the lost-account count.

5 Net New Money Award

An advisor qualifies for the net new money award once total net new money for the plan year reaches four million dollars (\$4,000,000). Once qualified, the award equals the plan-year net new money multiplied by the award rate and by the advisor's effective grid rate at the time of calculation. Net new money is measured as total inflows less total outflows across all flow products, before market movement. Flows attributable to a departed advisor's book in the six months following the departure are excluded from the receiving advisor's net new money for award purposes.

6 Select Anniversary Award

The Select Anniversary Award recognises sustained production across a full plan year. An advisor qualifies for the Select Anniversary Award only if calendar-year credited revenue reaches at least one million dollars (\$1,000,000). Calendar-year credited revenue is the sum of the advisor's credited revenue across the twelve production months of the plan year, measured after team splits. The award is calculated and paid following the close of the plan year; an advisor whose calendar-year credited revenue finishes below the one-million-dollar threshold receives no anniversary award for that year, regardless of monthly run rate.

7 Referral Programs

Referral-driven flows participate in the same credited-revenue measurement as all other business, subject to program terms. Note that a cap applies to referral-driven flows counted toward the net new money award in any plan year; the cap amount is established annually by the Compensation Committee and communicated under separate cover. Referral flows above the cap continue to credit revenue normally but do not count toward award qualification.

8 Administration

The Compensation Committee administers this plan and resolves interpretive questions. Grid movements under Section 3 are recorded on each affected transaction as a grid reduction; advisors should review recorded reductions monthly and raise discrepancies within sixty days. The firm may amend this plan prospectively at any time with thirty days' notice.